

Government policies relating to A&D sectors

The various policies initiated by the government of India have definitely had their own impact on manufacturing, and the sector as a whole. Dr Akhilesh Saurikha, advisor, Ernst & Young says, "Indian government is trying to support domestic manufacturing through policy initiatives. Mapping of domestic capacities on supply side at assembly level with that of demand will help boost local manufacturing. Product-specific initiatives will yield better results."

Let's take a look at the policies for this sector:

Industrial Licensing Policy (2012). With the objective of promoting small-scale industries and new entrepreneurs, a compulsory licensing system for manufacturing defence equipment was introduced by government of India under the Industries (Development and Regulation) Act 1951. Any Indian company or partnership can apply for this licence. The application submitted to the Department of Industrial Policy and Promotion (DIPP) would be considered by inter-ministerial committee. Though the process supposedly takes about six months, currently it takes almost a year for approval.

This policy has faced criticisms due to numerous conditions, conflicting objectives (created with an objective of increasing industrial production in the economy, but restricting activities of industrial units like substantial expansion, production of new articles, etc) and poor follow-up. Also, there was little clarity on the definition of the terms 'defence equipment' requiring industrial licence and 'dual-use' items for civil and defence application. The list of defence items for licensing is currently under preparation by a joint committee of the DIPP and the Department of Defence Production (DDP).

Foreign Trade Policy (2009-2014). Foreign Trade Policy (FTP) or Export Import (EXIM) Policy is a set of guidelines and instructions established to govern the import and export of goods in India. An export or import can be made by any person only against an import-export code (IEC) number, unless specifically exempted. Exports and imports are free except where they are specifically regulated by the 8-digit ITC-HS code (Indian Trade Classification based on Harmonised System of Coding). The ITC-HS has two schedules: rules and regulations for importing are provided by Schedule-I and that for exporting by Schedule-II. The drawback here is that the definition of licensing requirements is not clarified, specifically in the case of software exports.

Defence Procurement Procedure (2013). Defence procurement is governed by the Defence Procurement Procedure (DPP), which was first enumerated in 2001, and is being periodically reviewed and revised. The latest policy was released in May 2013. It lays out a transparent procedure for capital acquisitions by the Ministry of Defence, and has significantly liberalised and enlarged the avenues and products for discharging offset obligations.

Defence Offset Policy (2012). Defence offset policy was introduced in 2005 in order to leverage the buying power of the country and to achieve greater self-reliance in defence production. The revised version is effective from August 1, 2012 and specifies that foreign armament companies that get an arms deal of over three billion rupees must reinvest at least 30% of contract amount into India as offsets.

National Cyber Security Policy (2013). Until 2013, India had no cyber security policy. The government of India has started to seriously consider cyber security, which led to the introduction of National Cyber Security Policy on July 2, 2013. The Department of Electronics and Information Technology (DeITy) is working on setting up co-ordination centres to establish both offensive and defensive cyber security capabilities, and these are being very well funded to the extent of ₹ 10 billion over a period of next four years. The government has also decided to recruit 4500 to 5000 experts to be deployed at independent organisations that would take care of India's cyber security infrastructure. With the kind of expertise that private players have, the government would definitely want to use it, and hence "this policy helps a lot of private players," says Sunil Ross of Wind River.

huge, the government still has to sort out the certification issues related to training the required workforce. The Directorate General of Civil Aviation is now in the process of making its certification equivalent to the European Aviation Safety Agency.

Systems integration with out-

sourced components and sub-systems is a viable business option in A&D segment. About 50% of the manufacturing opportunities will comprise components and sub-systems manufacturing. Major defence contractors are usually integrators who procure components, sub-assemblies and sub-systems from

the MSMEs to configure systems as per the parameters prescribed by buyers. Many of the upcoming projects require integration of multiple technologies. Hence, vast opportunities exist for domestic and foreign MSMEs.

In order to develop advanced military products there is a need for high-performance, state-of-the-art test and measurement (T&M) equipment that satisfies military (MIL) standards in the strategic electronics segment. "T&M equipment and solutions for aerospace and defence are based on advanced technology for use in radar installations, electronic warfare, military communications, satellites, guidance, avionics, intelligence, surveillance and beyond," says Gautam Awasthi, general manager of marketing, electronic measurement group, at Agilent Technologies India Pvt Ltd. Hence it is a boost for T&M sector too.

Challenges

Procurement procedures. One major issue faced by domestic companies (including government firms) for getting involved in the A&D sector in our country is the qualification requirements put forth by the GOI towards domestic firms. Local hardware companies face a tough time to join defence projects. The best example is the Network for Spectrum (NFS) project by Department of Telecommunication. The mandatory criterion for bidding eligibility in financial front is a turnover of 25 to 40 billion rupees over the past three years. On the technical side, the companies must have deployed a specified quantum of equipment over a defined period of time.

Both these prerequisites make local companies ineligible even to bid, says Indian industry and business associations including the Confederation of Indian Industry (CII). This is ironic as India has been very keen to promote local electronic device manufacturers in order to save on import bill, and to avoid any possible security threat that may come up when using foreign equipment.

However, as a part of the NFS pro-